generating units and allowing them to sell their surplus power; and removing all restrictions on open access regarding purchase of power from exchanges, bilaterally or otherwise.

Second, distributing companies (DISCOMs) should start treating industry as good, if not preferred, customers. There is no need to provide them subsidized power. But rates for industrial and commercial consumers should be bearable—most likely, the market will clear at prices higher than the average cost of purchase but below the 20 per cent upper corridor the tariff policy has laid down.

Third, India has now become a stable surplus power generator. On quite a few days in 2020, India used less than 25 per cent of its capacity to generate power. It is not unusual now to see the power load factor of thermal power plants remain at less than 60 per cent; some of these plants are forced to back down on some days. In such a situation, DISCOMs should assure reliable, uninterrupted power supply to industry. It is a shame that India still has about 15,000 MW of diesel-generating capacity in the country, though it is not used as much these days. Just like inverters have practically become a thing of the past in Delhi and most cities with assured power supply becoming a norm, industry would be incentivized to dismantle diesel power-generating capacity by providing assured uninterrupted power. This would also have a positive impact on the environment.

These measures would boost power consumption. DISCOMs would get good customers back, which will add to their volumes. In fact, they might actually benefit from higher sales realization in this distortion-free pricing regime.

The policy of overcharging industrial consumers and keeping them captive has not really helped the DISCOMs as these ‘good customers’ have managed to escape their clutches, wherever possible, albeit at a very high cost to them. Both DISCOMs and industrial customers have suffered. India